

HBU3ATI1

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1 what was discussed.

2 THE COURT: You'll get a chance on cross, too.

3 MR. KAMARAJU: I intend to ask specifically, your
4 Honor.

5 Q. What was discussed at that meeting?

6 A. In that first part, a method, a system was discussed in
7 terms of how we would bring the money from India into Turkey.
8 And that was a very complicated system. If you wanted, I would
9 be happy to draw that one too.

10 Q. I think we'll skip the drawing on that one.

11 A. But shortly, that method was discussed. So, an account
12 would be created within Halkbank for that Indian company. And
13 the buyer of crude oil in India would be depositing the money,
14 the payment directly to its account at Halkbank, to the account
15 that would be opened. And then the funds would be -- would go
16 from there to another Turkish bank, to Arap Turk Bank. And
17 then I was supposed to get it out of there, in exchange for
18 gold.

19 Q. And then what would you do with the gold?

20 A. I would convert it into cash, and would be making these
21 international payments.

22 Q. Did Halkbank agree to that request?

23 MS. FLEMING: Objection.

24 THE COURT: Overruled.

25 A. They accepted on condition. They gave one condition with

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1 A. Mr. Suleyman Aslan, the general manager at Halkbank.

2 Mr. Hakan Atilla.

3 Q. Anyone else?

4 A. No, I don't recall the rest.

5 Q. I'd like to show you what's been marked for identification
6 as Government's Exhibit 205-T. Take a second and look through
7 that, sir. Do you recognize it?

8 A. Yes.

9 Q. What is it?

10 A. The transcript of a phone conversation.

11 Q. Do you remember this call?

12 A. I remember.

13 Q. Have you listened to a recording of this call?

14 A. Yes, I listened.

15 Q. Did that recording accurately capture your conversation?

16 A. Yes, it was reflecting.

17 Q. And who participated in that call?

18 A. It was Mr. Ozgur Erker and myself.

19 Q. Who is Ozgur Erker?

20 A. Ozgur Erker was one of the officials with authority that
21 worked at Arap Turk Bank during that period.

22 Q. And what is Arap Turk Bank?

23 A. It's a bank in Turkey.

24 Q. Approximately when did this call occur?

25 A. Within the same month of October.

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1 were in dollars, it would have had to go through the United
2 States on its way to Arap Turk Bank. If it were in Euros, it
3 would have had to go through Europe to come in. For that
4 reason, being in Turkish Liras, this would stay within Turkey.

5 Q. And why was it important that it stayed within Turkey?

6 A. So that it would not get hung up with international
7 filters; so that it will not draw attention.

8 Q. So do you see next where Erker says: "So is Halk saying
9 okay"?

10 A. Yes, sir.

11 Q. What did you understand him to be asking?

12 A. He's asking has Halkbank agreed to use this method, to use
13 this system.

14 Q. And how do you respond?

15 A. I say, yes, Halkbank said okay.

16 Q. Do you see next, do you see where he asks you: "Okay. Do
17 you mean that includes sending it to me"?

18 A. Yes.

19 Q. What did you understand him to be asking?

20 A. In other words, so does Halkbank agree to send the money to
21 Arap Turk Bank after the money comes into Halkbank?

22 Q. And how did you respond?

23 A. I did not give specific facts, but I said Arap Turk and
24 Garanti.

25 Q. Now, do you see a little further down where you say: "I

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1 A. Because before Suleyman Aslan called me in, I had talked to
2 Zafer Caglayan, and after my meeting with him, I also talked
3 with Zafer Caglayan and got his approval; so I was not going to
4 do anything without his knowledge. And at the end of the day,
5 we did not do anything -- sorry, we did not hide anything from
6 Zafer Caglayan. We did everything within his knowledge. We
7 used the existing accounts, and to Mr. Zafer, we gave the share
8 that was accumulating from that.

9 Q. Now, do you see a little further down where Hapmani says:
10 "Good, then. May it be well. They should open that channel so
11 that he can take care of the jobs that the guys have"?

12 A. I see it, sir.

13 Q. What did you understand him to be saying there?

14 A. He is saying so long as he takes care of the business about
15 bringing money from abroad for the Iranians.

16 Q. Now, at the bottom of that page, as it carries over, do you
17 see where you say: "I also received the okay for Ziraat Bank
18 and Vakif. They will get going as well. The Iran business
19 will get moving"?

20 A. Yes, I see it.

21 Q. What did you mean there?

22 A. During that time period, Ziraat Bank and Vakif Bank also
23 wanted to participate in Iranian business. I had talked to
24 Mr. Zafer Caglayan. If Ziraat Bank and Vakif Bank were to
25 begin also, he was going to direct me towards those banks, and

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1 transaction at the amount of one million Euros.

2 Q. Did you actually start the business in China?

3 A. Yes, we started it, sir.

4 Q. And did it progress?

5 A. For a certain period, sir.

6 Q. What stopped it?

7 A. The banks.

8 Q. Which banks were those?

9 A. Bank of Kunlun, Ping An Bank, Bohai Bank, all the banks
10 that we were working with, they stopped it. The banks that
11 realized that this had something to do with Iran, they
12 immediately stopped it.

13 THE COURT: Those banks that you mentioned, are those
14 Chinese banks?

15 THE WITNESS: Yes, your Honor. Except for Bank of
16 Kunlun. Bank of Kunlun was already a bank that was an
17 intermediary bank for Iranian transactions.

18 THE COURT: How long were you up and running, so to
19 speak?

20 THE INTERPRETER: Could you repeat that, sir?

21 THE COURT: How long was he operating before it was
22 stopped in China?

23 THE WITNESS: It was a few months.

24 MR. KAMARAJU: Your Honor, I was just about to start
25 sort of a string of exhibits; so it might make sense to take a